
UNIT 1 INDIAN ECONOMIC DEVELOPMENT - A HISTORICAL PERSPECTIVE

Structure

- 1.0 Objectives
- 1.1 Introduction
- 1.2 India in the Eighteenth Century
- 1.3 British Rule: State of Colonial Economy
 - 1.3.1 Disruption of the Traditional Economy
 - 1.3.2 Impoverishment of the Peasantry
 - 1.3.3 Commercialisation of Agriculture
 - 1.3.4 Agricultural Labourers
 - 1.3.5 Lack of Modernisation
 - 1.3.6 Ruin of Artisans and Handicrafts
 - 1.3.7 Status of Modern Industries
- 1.4 Drain of Wealth
- 1.5 Poverty and Famines
- 1.6 Macroeconomic Policy
 - 1.6.1 Savings and Investments
 - 1.6.2 Fiscal Policy
 - 1.6.3 Trade Policy
- 1.7 Programme of Economic Reconstruction for Independent India
- 1.8 Let Us Sum Up
- 1.9 Key Words
- 1.10 Term-end Exercises
- 1.11 References
- 1.12 Answer or Hints to Check Your Progress Exercises

1.0 OBJECTIVES

After going through this unit, you will be able to:

- get an overview of the state of India's colonial economy during the British period;
- explain the process resorted by British rulers to disrupt the traditional Indian economy that resulted in pauperisation of Indian people;
- discuss the macroeconomic policies particularly trade and fiscal policies during British rule; and
- appreciate the important milestones of Indian National Movement which will help you to understand the evolution of Indian Economic Policy in post-independence period.

1.1 INTRODUCTION

British rule drastically transformed India. British penetration and control brought to India modern business and political institutions, technology, capital and administrative practices. Many positive developments took place in the field of agriculture, industry, finance, transport and communication. One positive feature was the growth of the means of transport and communication. In the 1940s, India had 65,000 miles of paved roads and nearly 42,000 miles of railway track. Roads and railways unified the country and made rapid transit of goods and persons possible. The Government of India also established an efficient and modern postal and telegraph system. But this did not produce a type of economic development capable of generating real momentum. The reason was that these changes took place within and as part of colonial framework. To make available to their home industry, the cheapest raw material, the British destroyed the rural economy. To make the immense Indian market available for their industrial goods they ruined the handicraft industry. The colonial relationship subordinated Indian to British political and economic interests; it stimulated Indian economic development in some way and inhibited it in other ways.

Our industry had stunted growth. Colonial government. was not keen to develop modern industries such as automobile, aviation, chemical, etc. They did construct a network of railway tracks criss-crossing the length and breadth of this country but did not invest as much in social sector such as in education, technical education or enhancement of managerial skills. They did not encourage the growth of ancillary industry. Construction of railways in India, unlike in Europe, did not lead to comprehensive expansion of technical base, engineering institutes and of local managerial skill. Indians were not involved at higher levels in managing the transport, commercial and technical side of the venture. More or less similar was the case with our financial institutions and trade. There was no dearth of entrepreneurial spirit in the country. Indian owned business and industry thrived whenever imperial world was in crisis such as during two World Wars (Ist 1914-18 and IInd 1939-45). Against this background, after reading this unit, one can understand how India — with abundance of natural resources and having a thriving trade with both East and the West, where every western trading company wished to open trading centres, became a country with a stigma attached to it of a country with a begging bowl. To understand the evolution of the Indian economic policy post-independence, we have to get a bird's eye view of economic developments of pre-colonial and colonial India.

1.2 INDIA IN THE EIGHTEENTH CENTURY

In the eighteenth century the subcontinent was a major commercial hub of the contemporary world. It was the wealth of India that attracted the British. “Nearly every kind of manufacture or product known to the civilised world...had long, long been produced in India. India was far greater industrial and manufacturing nation than any in Europe or than any other in Asia.” (J.T. Sunderland, *India in Bondage*, 1929, p.367). Historically, Indian economy had been dominant in the world prior to the colonialism. The data pertaining to the share of contribution made by major countries in the world GDP during the period 1-2003 A.D. has been incorporated in Table 1.1.

Table 1.1: Share of Major Countries in World GDP 1-2003 AD
(Per cent of World Totals)

Countries	1	1000	1500	1600	1700	1820	1870	1913	1950	1973	2003
12 Country* Total	10.6	7.0	15.5	17.1	19.1	20.5	30.5	30.8	24.1	22.8	16.5
Total Western Europe	13.7	9.1	17.8	19.8	21.9	23.0	33.1	33.0	26.2	25.6	19.2
USA	0.3	0.4	0.3	0.2	0.1	1.8	8.9	18.9	27.3	22.1	20.6
China	25.4	22.1	24.9	29.0	22.3	32.9	17.1	8.8	4.6	4.6	15.1
India	32.0	28.1	24.4	22.4	24.4	16.0	12.1	7.5	4.2	3.1	5.5
Other East Asia	4.6	7.5	8.4	7.4	7.7	5.2	4.8	4.5	4.8	5.2	9.6
Total of World	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Source: Adapted from Table A.6 of the Book 'The Contours of World Economy 1-2030 AD by Late British Professor Angus Maddison, Oxford University Press 2007, p.p. 381.

*Austria, Belgium, Denmark, Finland, France, Germany, Italy, Netherlands, Norway, Sweden, Switzerland and the UK.

The trend in the share of major countries in the world economy during the period 1-2003 A.D. has been plotted in the Figure 1.1:

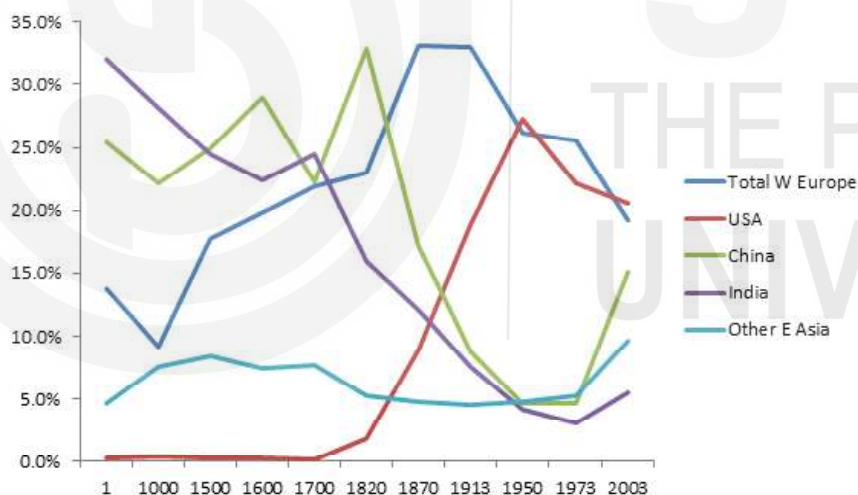


Fig. 1.1: Trend in the Share of Major Countries in World GDP

Some observations from the above table and figure showing the evolution of global economies over 2000 years in terms of percentage contribution of GDP can be summarised as follows:

- 1) Before the 18th century, India and China were the two largest economies in terms of their share in the world GDP.
- 2) During the period from the First millennia CE (i.e. from 1 CE to 1000 CE) till 14th century CE (where CE stands for Common Era) India has been the largest GDP contributor to the world economy.
- 3) During the first 17 centuries of Common Era (i.e. from 1 CE to 1700 CE),